# Otavio Braga

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## Education

**Ph.D. in Economics**, Duke University 2021–27 (expected)
— Fields: Household Finance, Real Estate, Empirical Macroeconomics

**M.Sc. in Economics**, São Paulo School of Economics – FGV 2018–20

**B.A. in Economics**, University of São Paulo 2013–16

## References

David Berger
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## Job Market Paper

**Inflation Beliefs and the Indexation of Household Debt**
*with João Pugliese (Stanford University) and Lucas Iten (Central Bank of Brazil)*

***Abstract:*** *Economic theory dictates that inflation beliefs should shape household financial decisions, but establishing this link empirically has been a central challenge. We argue that such difficulty can be partly explained by the fact that many households do not understand their own financial exposure to inflation. To show this, we study households holding inflation-indexed debt, whose contracts establish a one-to-one relation between inflation and the growth of their nominal payments. In a survey experiment with Brazilian borrowers, we separately elicit forecasts for inflation and installments. Most respondents underestimate their own exposure, expecting payments below what their inflation forecasts imply. We cross-randomize two independent treatments informing respondents about (i) historical inflation and (ii) the payment increase implied by their own inflation forecast. We find that shifts in inflation beliefs affect households' financial planning only when paired with (ii), which makes their payment consequences explicit; (i) alone revises forecasts but leaves planning unchanged. Finally, we calibrate a consumption-savings model to show that borrowers tolerate inflation exposure in their indexed debt far more than the rational benchmark predicts, even after accounting for possibly biased inflation beliefs and the underestimation of their future debt burden.*

## Works in Progress

**Reassessing Risk in Housing Markets: The Role of Selection**
*with Bomi Kang (Duke University)*

**Property Taxes and Residential Mobility: Evidence from Tax Reforms in São Paulo**
*with Bomi Kang (Duke University)*

**Misperceptions and Redistribution: Evidence from Brazilian Consorcios**
*with João Pugliese (Stanford University) and Lucas Iten (Central Bank of Brazil)*

## Fellowships and Awards

| | |
|---|---|
| Merit-based Head TA Bonus, Duke University Economics Department | 2023, 2025 |
| Summer Research Fellowship, Duke University Graduate School | 2022, 2023 |
| Graduate Fellowship, CAPES (Brazilian Federal Agency for Graduate Education) | 2019, 2020 |
| Graduate Fellowship, Fundação Getulio Vargas | 2018 |
| Honorable Mention, Best Senior Thesis in Economics, University of São Paulo | 2016 |

## Teaching Experience

**Duke University**

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|---|---|
| TA, Advanced Microeconomic Theory (Undergraduate) | Fall 2026 |
| Head TA, Introduction to Econometrics & Data Science (Undergraduate) | Spring 2025 |
| Head TA, Econometrics & Data Science (Undergraduate) | Spring 2023 |
| Head TA, Introduction to Econometrics (Graduate) | Fall 2022 |

**São Paulo School of Economics – FGV**

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|---|---|
| TA, Quantitative Macroeconomics (Graduate) | Fall 2019 |

## Work Experience

**Duke University** 2024-25, 2026
Research Assistant for Cosmin Ilut

**Columbia University / London School of Economics** 2019–21
Research Assistant for François Gerard and Joana Naritomi

**São Paulo School of Economics – FGV** 2020
Research Assistant for Fernando Chague, Bruno Giovannetti, and Marcelo Fernandes

**Analyst, Fiesp** (Federation of Industries of the State of São Paulo) 2016–17

## Programming

Matlab, Python, R, Stata

## Languages

Portuguese (Native), English (Fluent), Spanish (Intermediate), French (Basic)